Daou Technology 023590

July 31, 2026 - 7:34am EST
by 2fly4wifi

			2026	2027
Price:	36,350.00	EPS	15100	17800
Shares Out. (in M):	43	P/E	2.4	2.0
Market Cap (in $M):	1,093	P/FCF	2.4	2.0
Net Debt (in $M):	115	EBIT	600	650
TEV (in $M):	1,208	TEV/EBIT	2	2

Description

The IBKR of Korea but at a PE of 2.4x and a 5% dividend yield (which is 2.4x covered) and trading at only 39% of NAV. People keep asking me how I sleep at night owning Korean equities given all the volatility. Very well, thank you. Volatility here is our revenue line :) The Korean market right now is making headlines but for all the wrong reasons. Leveraged ETFs stacked on two chip stocks that are over half the index. We don't own any of that. But when the market becomes a casino... you can always own the house. This broker earns commission whether people are buying or panicking. Granted there is often gap and liquidation risk too, so risk management or shall I say "situational awareness" is key.

Investment Thesis

Daou Technology is a Korean holding company that owns 42.5% of Kiwoom Securities, the dominant online platform and number one retail stockbroker for 21 consecutive years. Think of Kiwoom, also listed (039490 KS) as the Interactive Brokers (IBKR) of Korea. Daou has a market cap of roughly KRW 1.57tn. Its Kiwoom stake alone is worth about KRW 3.9tn, and a conservative NAV including parent net debt, listed stakes and the non-financial IT businesses is about KRW 98,000 per share. The stock therefore trades at roughly 39% of NAV (a 61% holdco discount), less than half the value of the listed Kiwoom stake, and about 2.4x look-through 2026 earnings.

This is not a classic liquidation story. I do not need Daou to sell Kiwoom or collapse the holding structure for the idea to work. Kiwoom is compounding NAV, Kiwoom is increasing dividends, and Daou has begun passing more of that cash through to shareholders and Korea is rewriting its rules in favour of minority shareholders faster than at any point in my fourteen years of following the market.

Metric	Daou Technology
Ticker	023590 KS
Price	KRW 36,500
Shares outstanding	43.3m
Market cap	KRW 1.57tn
Conservative NAV	KRW 4.24tn / KRW 98,000 per share
Price / NAV	39%
Dividend / yield	KRW 1,800 / 5%
Look-through 2026E P/E	2.4x

Sources: Naver Finance realtime API and KRX close data pulled July 30, 2026; Daou source deck; company filings and broker estimates

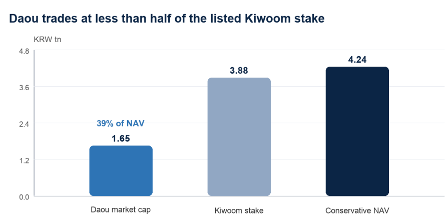

Exhibit 1: The current equity value is below the listed Kiwoom stake and far below conservative NAV.

The Business

The economic heart of Daou is Kiwoom. Kiwoom has been Korea's #1 retail broker for more than two decades and remains the purest listed beneficiary of domestic retail trading activity. The business is cyclical, but it has not been structurally low-return. ROE averaged in the mid-teens over the last decade, and even the 2023 trough was still very profitable. The reason Kiwoom matters now is that the backdrop has turned. Korean household wealth is still heavily skewed toward real estate, while policy is trying to push more capital into public equities through the Value-Up agenda, dividend tax reform and pension product growth. Trading value, customer deposits and margin lending have all improved materially. Kiwoom also has a growing carry trade engine: customer deposits, margin lending and promissory-note funding create a carry float and net interest income that is more durable than commission revenue alone.

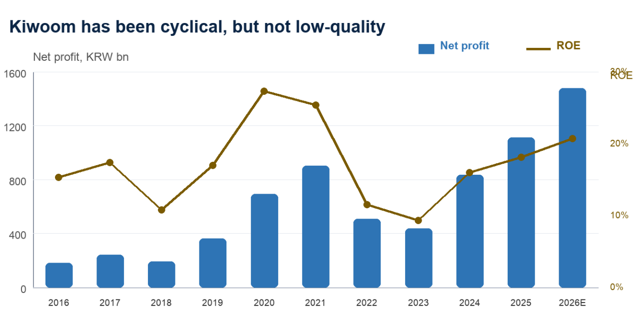

Exhibit 2: Kiwoom earnings and ROE are cyclical but high quality for a broker.

Daou also owns operating IT assets that are not central to the thesis but are not worth zero. Financial IT provides the technology backbone for Kiwoom, the marketing business includes ppurio in A2P messaging, and commerce/infrastructure includes Sabangnet and data-center assets. The Jukjeon 40MW data center is scheduled for completion around the end of 2026. I give these assets only KRW 350bn of value in the SOTP, below the rough build cost and far below a full private-market mark if the asset is leased successfully.

Why the mispricing exists

The stock is cheap for understandable reasons. First, Daou screens badly because Kiwoom is consolidated, which makes the parent look like a small-cap software company attached to an enormous financial balance sheet. It takes some work to disaggregate the real holdco debt which is not material. Second, the double-holdco chain from Daou Data to Daou Technology to Kiwoom creates a natural discount and keeps many investors away. Third, Korea's holding-company rules make a simple increase in Kiwoom ownership or clean restructuring harder than it looks because Daou must manage asset-test issues. Fourth, the controlling family has historically had incentives to tolerate a low quoted price ahead of succession planning. Those issues are real, but they do not impair the cash that comes up from Kiwoom. That is the important distinction. A structural discount can be permanent. However a structural discount applied to a rising NAV with a rising payout can still produce a good return.

What changed

The change is that the value is now being paid, not only counted. Kiwoom's dividend per share has moved from KRW 3,000 in 2023 to KRW 7,500 in 2024, KRW 11,500 in 2025 and an estimated KRW 16,500 in 2026. Daou's own dividend has moved from KRW 700 to KRW 1,400 to KRW 1,800. Daou also retired its treasury shares. This is by no means a perfect governance story, but the direction is different from the historical Korean holdco value trap.

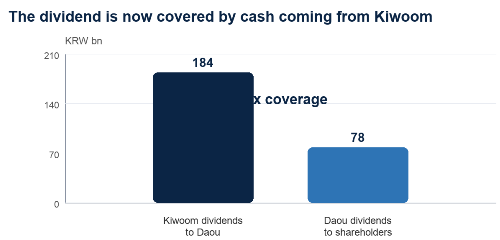

Exhibit 3: Kiwoom dividends into Daou now cover Daou's own dividend by roughly 2.4x.

The policy backdrop also helps. Korea's Commercial Act reform broadens director fiduciary duties, the Value-Up program rewards higher payout and better disclosure, and proposed dividend-tax changes would directly encourage the behavior Daou and Kiwoom are already moving toward. The policy does not need to solve the discount in one step. It only needs to keep pressure on payout and capital allocation.

Valuation and expected return

SOTP item	Value	Per Daou share
Kiwoom Securities stake	KRW 3,880bn	KRW 89,600
Parent net debt	(KRW 158bn)	(KRW 3,700)
Other listed stakes	KRW 169bn	KRW 3,900
IT operations + Jukjeon DC	KRW 350bn	KRW 8,100
Conservative NAV	**KRW 4,241bn**	**KRW 98,000**

SOTP values are from our internal model. Current market cap is updated for the July 6, 2026 KRX close.

At KRW 36,500, Daou trades at roughly 39% of conservative NAV. A move to only 50-60% of NAV implies KRW 49,000-59,000 per share, or roughly 30-55% upside before dividends. That still assumes a very large permanent holdco discount. Full NAV is about KRW 98,000 per share. Another way to see the setup is earnings. Daou's look-through share of Kiwoom's 2026E earnings is roughly KRW 655bn, compared with a Daou market cap of roughly KRW 1.57tn. That is about 2.4x look-through earnings for the best retail brokerage franchise in Korea, with a starting 5% dividend yield while waiting.

Risks

The biggest risk is that the holdco discount never closes, which is precisely why I underwrite the position at 50-60% of NAV rather than full value. Brokerage earnings are also cyclical, and there is little doubt Korean trading volumes have been elevated by the “everything AI” boom. Kiwoom will always look like it is overearning when retail trading is hot, and the shares will be marked down when activity normalises. The margin of safety is the starting price which to me is not a normal broker multiple in any market, and the net interest carry engine cushions the commission cycle.

Governance remains the central diligence item. The Chairman's 2023 resignation and the family holdco structure are not positives. The offset is observable rather than promised: higher payouts, treasury retirement and better capital return at both Kiwoom and Daou. I would reassess if the payout progression at either company reversed, if parent leverage rose materially, if related-party actions diverted value from minorities, or if a restructuring complicated rather than simplified the chain. Liquidity is real money aware: Daou Data holds roughly 45% of the shares, so free float is limited and this is a position you build patiently. The data centre could disappoint. I am not underwriting a heroic value for it; the SOTP carries IT operations plus Jukjeon at KRW 350bn, below build cost.

Conclusion

Daou is a messy Korean holdco, which is exactly why the opportunity exists. But the mess is attached to a very good listed asset that is growing, and the current price is low enough that the investment does not require perfect governance, a full restructuring or an aggressive mark for the side assets. At a >40% earnings yield, I think Daou is an unusually good way to buy Korea's equity-market reform cycle with a big margin of safety.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Catalysts

- Kiwoom earnings and payout progression through 2026-2027.
- Daou continuing to raise its own dividend

- Korea Value-Up, Commercial Act and dividend-tax reforms putting pressure on holding-company capital allocation.
- Jukjeon data-center completion or tenant announcements around the end of 2026.
- Any post-succession simplification of the Daou Data / Daou Technology / Kiwoom chain.
- Maybe some wily broker decides to cover the stock – zero broker coverage for a >$1bn market cap.

Messages

Subject The Q
Entry 07/31/2026 09:14 AM
Member acm2025

I'll just ask the question: why not just own Kiwoom? It pays a nice dividend too. Just like the NAV discount that much?

Subject Re: The Q
Entry 07/31/2026 11:08 AM
Member 2fly4wifi

True - I am a sucker for punishment. Kiwoom direct is also very cheap for its quality and the dividend is good and its even more liquid. Plus some broker coverage if thats your thing. But yes in short, I just like the big discounted entry into Kiwoom via the holdco and the fact that the spread between the two got to the widest in history early 2026. Way too wide for a single listed asset which makes up most of the NAV. Alignment helps too. Since succession, the only way cash reaches the family is Kiwoom paying Daou and Daou paying out. The dividend payout ratio has a lot more room to grow too at Daou as Kiwoom keeps also increasing. So you get Kiwoom at a big discount plus a free option on some of these targeted reforms in Korea.

Subject Holdco Rationalisation
Entry 07/31/2026 11:34 AM
Member Patroclus

Interesting idea 2fly4wifi, thanks.

We've looked through Daou Data and Daou Tech a little in the past.

Two quick questions:
1) Do you see any path for holdco rationalisation? e.g. if South Korea reforms its inheritance tax rules would that be enough incentive? Or are there any movements within the family that might spark a change? I agree the case doesn't need it, but would be an interesting kicker.

2) Have you looked much at the other listed stakes? Ik they're a small % of value though

Subject Good write-up
Entry 07/31/2026 12:51 PM
Member GeneralGrevious

Spent a decent amount of time on this one also. I'd add 2 things that are positives.
1. I believe the Daou's CEO is training up his US educated son who may well be more shareholder friendly.
2. Although trading volumes in Korea are definitely elevated they make a good and increasing amount from overseas comission and they are actually more Kosdaq exposed than Kospi.

Subject Re: Holdco Rationalisation
Entry 07/31/2026 01:36 PM
Member 2fly4wifi

1) Rationalisation path. Lots of steps they can take to unlock value. No announced path, but the incentives have flipped. The son (Kim Dong-jun) already controls the chain via E-Money → Daou Data → 45% of Daou Tech, so succession is largely done. The one event still to come is the founder's residual Daou Data stake being transferred down which is the family's big taxable event, and exactly where the reform bites. The proposed (not yet enacted) tax bill would value sub-0.8x-book transfers on asset/earnings value not the suppressed price, so keeping Daou cheap no longer saves the family any tax if that comes in. It removes the suppression incentive rather than forcing a restructuring. The real pull toward a Daou Data / Daou Tech merger is that the family now gets paid via dividends up the chain, and every layer leaks. Best bit: pre-reform a merger meant minorities getting killed via a low-ball ratio or via some unfair compelled share swap; post-reform (fiduciary duty to ALL shareholders + fair-ratio rules) so it has to happen near fair value. Caveat: financial-holdco asset tests mean it happens at the Data/Tech level, not by collapsing into Kiwoom.

2) Other listed stakes. small 4% of NAV, so basically rats and mice. Two listed. Saramin (35.6%) is best, the no 1 jobs platform and cash as much as market cap. decent but small and hiring-cyclical; and KICA (43.9%), digital certificates. A net-cash quasi-utility. Plus small unlisted bits and this 350bn unleased data centre with no tenant yet.

Subject Other SK brokers are cheap also
Entry 08/01/2026 01:54 PM
Member Packer16

Other brokers with better governance are cheap also. Meritz (with governance equal to us standards) trades for 7x EPS and KIH (with improving but with still Korean characteristics - no buybacks in Value-Up plab for example) trades at about 2x EPS (ex the stakes in Kakao Bank & Toss bank). Both generate RoEs in the 20%s (very high for brokerage assets) and high retention rates (85-90%). IMO the biggest issue with Korean firms is entrenched culture of treating minority shareholders poorly. Daou/Kiwoom's chairman had to resign due to an insder trading scandel a few years ago. IMO these type of cultural issued linger when even the leaders step-down. Kiwoom is a great asset but the difference IMO to IB is management treatment of minority shareholders. When you have a history of poor treatment combined with a nested structures you have a means to re-direct cash flow to insiders. I have no specific data about subsequent poor treatment but other alternatives provide similar upside with better management/culture IMO.

Packer

Subject Re: Other SK brokers are cheap also
Entry 08/02/2026 05:00 AM
Member 2fly4wifi

Thanks for your feedback. You may be right on the thing that matters and I'd concede the Korea culture point. I do feel that is slowly changing but it will take time. The chairman selling his stock in 2023 was not good and historically the nested structure can be a real means to redirect cash and I can't disprove it, only note it hasn't occurred yet. That's a fair reason to prefer a different name...However the "2x vs 2.5x" gap I don't think is apples to apples. KIH only gets to "2x" once you strip Kakao Bank and Toss out at full value. Had done this comp slide which is bit dated now post 1Q, but good comp:

	KIWOOM	MIRAE	SAMSUNG	NH	KIS	TOSS
Brokerage fees Q1 2026 - KRW bn	**366**	459	380	381	314	125
of which domestic KRW bn	**286**	344	306	325	263	~1
of which overseas KRW bn	**80**	115	74	56	51	124
Overseas as % of fees Q1 2026	**22%**	25%	19%	15%	16%	99%
Net profit Q1 2026 - KRW bn	**477**	1,033*	386	476	822	84
Net profit growth Q1 2026 - year on year	**+103%**	+299%*	+55%	+129%	+79%	+32%
Market capitalisation KRW tn	**8.0**	20.7	9.1	10.5	12.1	unlisted
Shareholders' equity KRW tn	**6.7**	13.5	8.1	9.4	12.1	0.7
Return on equity FY2025	**18.1%**	12.4%	13.1%	11.8%	18.7%	~74%
P/E and P/B current price	**7.2 / 1.20**	13.9 / 1.63	10.3 / 1.27	8.1 / 1.05	8.4 / 1.17	-

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Subject Re: Re: Other SK brokers are cheap also
Entry 08/03/2026 09:23 AM
Member Packer16

Thanks for the data and perspective. I get 2.5x to 2.7x for the prefs as the following 151k won * 58.6m= 8.8 tr won; Less the market value of the Kakao bank of 2.9 trillion won less 100% of toss IPO price (1.0 tr won) to 50% of IPO price (0.5 tr won) = 5.1 tr won to 5.6 tr won divided by 2025 net income (2 tr won). IMO deriving EPS multiple in these situations are apples to apples as neither of us are applying internal discounts.

IMO one of the key drivers in driving growth in both names is management behavior. Does Daou have other growth investment areas where it can deploy the cash flows from Kiwoom? Do you think Daou would ever spin-off Kiwoom?

KIH sold a portion of one of its investments (Kakao bank) in the past. KIH is looking at purchasing poorly run insurance companies (possibly to develop an insurance run-off company) which would require a large capital investment which I am skeptical of due to lack of experience. One initative I do like is funding an ABL lending pool managed by Canyon Capital.

Packer